FCA MESSAGES

⚠ **This document contains different templates for financial capacity assessment messages.**

FCA INVITATION (PNS-FCA-01) 2
REMINDER (FCA) (PNS-FCA-02) 6
LAST REMINDER (FCA) (PNS-FCA-03) 7
NON-RESPONSIVE PIC (FCA) (PNS-FCA-04) 8

FCA INVITATION (PNS-FCA-01)

RE: PIC No [insert PIC number] — Financial capacity assessment — Request for documents (PNS-FCA-01)

Dear Participant,

Following your recent application for an EU grant or tender in the EU Funding & Tenders Portal Participant Register, we are contacting you to proceed with the assessment of your financial capacity.

The assessment will be done in accordance with the Rules for legal entity validation, LEAR appointment and financial capacity assessment available on the Funding & Tenders Portal/How to participate/Reference Documents, under the responsibility of the EU service handling your application.

Please **upload** the following financial documents in the Participant Register within **7 days** after receiving this message (using the following link):

1. Profit and loss account, approved by the management of your organisation, clearly indicating the amounts of turnover, operating income, staff costs, depreciation, amortisation and interest expenses. If this information is not indicated in the profit and loss account or in the explanatory notes, it must be provided in the form of a self-declaration.

2. Balance sheet, approved by the management of your organisation, clearly indicating the nature and maturity (i.e. below or above one year) of receivables, provisions and liabilities. If this information is not indicated in the balance sheet or in the explanatory notes, it must be provided in the form of a self-declaration.

3. Explanatory notes and/or annexes that form part of the above financial statements (if available).

4. External audit report or self-declaration.

   Participants requesting a grant amount of above 750 000 EUR (for action grants) or above 100 000 EUR (for operating grants) must provide:

   - a statutory audit report issued by an approved/certified external auditor, if such a report is available or a statutory audit is required under EU or national law

   or

   - a declaration on the validity of the accounts* (self-declaration), signed by your legal representative, which certifies the validity of the accounts.

No audit/self-declaration is needed for entities participating in tender procedures, for natural persons and entities without closed annual accounts.

Note:

Subsidiaries which do not prepare their own financial statements may provide the consolidated accounts of the group they belong to if:

- the entity is exempt from statutory audits under national law
- only consolidated statements of the group the entity belongs to are available

and

- the parent company assumes joint liability for all debts of the subsidiary.

In this case, please provide additional documents proving that these conditions are met.

Parent companies which are exempt under national law from publishing individual (i.e. non-consolidated accounts) must provide a simplified summary of their non-consolidated profit and loss statement and balance sheet, dated and signed for approval by the management.

Newly established entities and start-ups that have **not yet closed accounts** must provide the estimated financial data for one accounting year (i.e. a business plan or a similar document including financial projections on current and non-current assets, own capital, current and non-current liabilities, turnover, operating and financial income and charges). No statutory audit/self-declaration is needed in such cases. Entities and start-ups with closed accounts for only one year may submit the documents for that year.

Natural persons engaged in an economic activity who do **not prepare financial statements** for such activity should provide:

- the annual income tax declaration containing details on revenues and expenses from business activity
- a signed self-declaration of patrimony, including:
  - fixed patrimony (e.g. land, tenement, hereditament, medium/long-term deposits of more than one year, stock options that cannot be exercised within one year)
  - current patrimony (e.g. available cash, savings, short-term deposits (maximum one year) stock options that can be exercised within one year).

No statutory audit/self-declaration is needed.

Entities operating on **cash-based accounting without profit and loss accounts and a balance sheet included in their financial documents** should instead provide a declaration signed by the legal representative including:

- information on fixed and current assets, such as buildings, equipment, inventory, cash, short/long-term receivables, short/long-term liabilities, grants, and equity/sources of funding, etc

– information on revenues and expenses, such as turnover from sales of goods and services, operating income, staff expenses, depreciation/amortisation costs, interest expenses etc.

In addition, it is recommended to provide any available evidence supporting the declared amounts (e.g. bank statements confirming the available balance at accounting closure date etc).

Important:

- The documents must cover the last two closed financial years (the most recent one must have been closed within the last 18 months). Exceptions are allowed only for newly established companies and start-ups (see above).

  A single financial document containing comparative data of the annual accounts of both years under assessment will be accepted. The same applies to a statutory audit report covering the two financial years.

- As a general rule, financial documents should be provided in their original language(s), as imposed by the legislation in your country of registration. For documents in EU languages, you may be requested to submit a free translation in English to facilitate the assessment. Documents in other languages may be accepted if accompanied by a free translation in English. Free translations without the original official documents will not be accepted. In case of doubt, the Central Validation Service has the right to request a certified/legal English translation. If you have original documents in an EU language other than an official language of your country, they may be submitted as they are (e.g. dated and signed annual management reports in English for a company listed on the stock exchange/with international shareholders/part of a foreign group; dated and signed extracts from national registers that use English, etc).

Some tips:

When uploading the financial documents, identify the closing date of the applicable accounting year, choose the correct ‘financial document’-type and complete the checklist.

Respect the maximum size of 6 MB per document (if needed, scan the accounts in a lower resolution or in ‘black & white’ format).

If you upload an annual report, scan only the financial sections and the signed pages, avoiding images, charts, etc.

If you have technical difficulties uploading the documents, please check the IT How To.

If the problem persists, please contact the IT Helpdesk (via the Helpdesk contact form).

⚠ Please note that the financial capacity assessment is a mandatory requirement for EU funding/tenders.

Kind regards,

Central Validation Service
European Research Executive Agency

Disclaimer:

⚠ This message does NOT constitute a commitment for the award of any funding/tenders.

You can access the Portal with your **EU Login** account to read the latest notifications (or take other action): Participant Register > Actions > Modify organisation.

In order to **contact** us, please use the Messages function in your Organisation page in the Participant Register.

REMINDER (FCA) (PNS-FCA-02)

RE: PIC No [insert PIC number] — Financial capacity assessment — Reminder (PNS-FCA-02)

Dear Participant,

We contacted you recently regarding documents required for the financial capacity assessment.

Please **upload** these documents in the Participant Register within **7 days** after receiving this message (using the following link).

If you have technical difficulties uploading the documents, please check the IT How To.

If the problem persists, please contact the IT Helpdesk (via the Helpdesk contact form).

⚠ Please note that the financial capacity assessment is a mandatory requirement for EU funding/tenders.

Kind regards,

Central Validation Service
European Research Executive Agency

Disclaimer:

⚠ This message does NOT constitute a commitment for the award of any funding/tenders.

You can access the Portal with your **EU Login** account to read the latest notifications (or take other action): Participant Register > Actions > Modify organisation.

In order to **contact** us, please use the Messages function in your Organisation page in the Participant Register.

LAST REMINDER (FCA) (PNS-FCA-03)

RE: PIC No [insert PIC number] — Financial capacity assessment — Last reminder (PNS-FCA-03)

Dear Participant,

We contacted you recently regarding documents required for the financial capacity assessment of your organisation.

Please **upload** these documents in the Participant Register within **7 days** after receiving this message (using the following link).

We will NOT send any further reminders.

If we do not receive these documents within the given deadline, the financial capacity assessment for your organisation cannot be completed and this may affect your participation in EU funded actions.

If you have technical difficulties uploading the documents, please check the IT How To.

If the problem persists, please contact the IT Helpdesk (via the Helpdesk contact form).

Kind regards,

Central Validation Service
European Research Executive Agency

Disclaimer:

⚠ This message does NOT constitute a commitment for the award of any funding/tenders.

You can access the Portal with your **EU Login** account to read the latest notifications (or take other action): Participant Register > Actions > Modify organisation.

In order to **contact** us, please use the Messages function in your Organisation page in the Participant Register.

NON-RESPONSIVE PIC (FCA) (PNS-FCA-04)

RE: PIC No [insert PIC number] — Financial capacity assessment — PIC marked as non-responsive (PNS-FCA-04)

Dear Participant,

This is to inform you that the financial capacity assessment of your organisation has been put on hold since you didn't respond to our requests for supporting documents/information.

You can resume the procedure by uploading the necessary documents in the Participant Register (using the following link).

⚠ Please note that the financial capacity assessment is a mandatory requirement for EU funding/tenders.

Kind regards,

Central Validation Service
European Research Executive Agency

Disclaimer:

⚠ This message does NOT constitute a commitment for the award of any funding/tenders.

You can access the Portal with your **EU Login** account to read the latest notifications (or take other action): Participant Register > Actions > Modify organisation.

In order to **contact** us, please use the Messages function in your Organisation page in the Participant Register.

BG CS DA DE EL EN ES ET FI FR GA HR HU IT LT LV MT NL PL PT RO SK SL SV

HISTORY OF CHANGES		
VERSION	PUBLICATION DATE	CHANGE
1.0		Initial version. Not published.
2.0	14.12.2017	Validation LS and publication.
3.0	02.06.2020	Changes due to new Financial Regulation. Update to new MFF
4.0	23.03.2021	Changes due to the new FCA wizard in URF, introduced with the release of FCA COMPASS
5.0	01.09.2022	Minor editing and alignments. Addition of table of content. Links to language versions.
6.0	01.02.2024	Simplification of procedures. Updates in line with the update of the Validation Rules. Update of links.